Fiscal Impact Statement

Legislative Council Staff

Nonpartisan Services for Colorado's Legislature

AMENDMENT 87: GRADUATED INCOME TAX

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Summary Information

Overview. The measure creates a graduated income tax beginning in tax year 2027 and uses the new tax revenue to provide funding for K-12 education, health care, and early child care and education.

Types of impacts. The measure is projected to affect the following areas:

- State Revenue
- State Expenditures
- School Districts

Disclaimer. This fiscal impact statement has been prepared for a statewide ballot measure appearing at the 2026 statewide election. Any appropriations required to implement this measure will be addressed through the annual or supplemental budget process if this measure is approved by voters. For more information about this measure, please see the ballot information booklet.

Table 1
State Fiscal Impacts

Type of Impact	Current Year FY 2026-27	Budget Year FY 2027-28	Out Year FY 2028-29
State Revenue	$958.4 million	$1,972.0 million	$2,085.8 million
State Expenditures	$0	$98,000	$17,600
Transferred Funds	$0	$0	$0
Change in TABOR Refunds	$0	$0	$0
Change in State FTE	0.0 FTE	0.0 FTE	0.0 FTE

Amendment 87

Table 1A
State Revenue

Fund Source	Current Year FY 2026-27	Budget Year FY 2027-28	Out Year FY 2028-29
General Fund	$0	$0	$0
Cash Funds – Colorado Future's Account	$958.4 million	$1,972.0 million	$2,085.8 million
Total Revenue	**$958.4 million**	**$1,972.0 million**	**$2,085.8 million**

Table 1B
State Expenditures

Fund Source	Current Year FY 2026-27	Budget Year FY 2027-28	Out Year FY 2028-29
General Fund	$0	$98,000	$17,600
Cash Funds	$0	$0	$0
Federal Funds	$0	$0	$0
Total Expenditures	**$0**	**$0**	**$17,600**
Total FTE	**0.0 FTE**	**0.0 FTE**	**0.0 FTE**

Summary of Measure

The measure creates a graduated state income tax starting in tax year 2027. Under current law, individual and corporate taxpayers are taxed at a single rate of 4.40 percent. The measure amends the state constitution to allow for different levels of taxable income to be taxed at different rates.

Tax rates under the measure and current law are shown in Table 2. The new tax rates apply to both individual and corporate taxpayers. The tax rate is graduated. For example, a taxpayer with taxable income of $600,000 would pay a tax of 3.7 percent on the taxpayer's first $25,000 in taxable income, 4.2 percent on the next $75,000, 4.4 percent on the next $400,000, and 7.4 percent on the last $100,000. The tax brackets in Table 2 are permanent and not adjusted for inflation in future years.

Table 2
Income Tax Rates Under Current Law and Amendment 87

Taxable Income	Income Tax Rate Under Current Law	Tax Rates Under Amendment 87
Up to $25,000	4.40%	3.70%
$25,001 to $100,000	4.40%	4.20%
$100,001 to $500,000	4.40%	4.40%
$500,001 to $750,000	4.40%	7.40%
$750,001 to $1,000,000	4.40%	7.90%
$1,000,000 and above	4.40%	8.40%

Increased income tax revenue is credited to the Colorado Future's Account, created in the measure. The new tax revenue will be used for the following purposes:

- K-12 public school education, including improving kindergarten through 12th grade education, increasing access to career and technical education programs, and increasing teacher pay;
- health care, including programs to help families afford health care, replacing Medicaid funding previously provided by the federal government and to pay for the implementation of new federal requirements, increasing funding for primary care, behavioral health and rural health care, supporting health care, long-term care, and other supports for older adults and people with disabilities; and
- early child care and education, including programs to help families afford child care, increasing pay and support for the child care workforce, and improving access to high-quality early childhood education programs.

State Revenue

By replacing the state flat income tax with a graduated income tax, the measure increases state income tax revenue by $958.4 million in FY 2026-27 and by $1,972.0 million in FY 2027-28, and increasing amounts in future years based on income and population growth. The estimate for FY 2026-27 represents a half-year impact for tax year 2027. Additional revenue will be credited to the Colorado Future's Account, as shown in Table 1A. The revenue estimate does not account for the impacts of 2025 H.R. 1, the One Big Beautiful Bill Act, due to insufficient data. The increased revenue is exempt from TABOR as a voter-approved revenue change.

Maximum Dollar Change

The estimates in the previous paragraph represent the revenue impact of the measure under the current LCS revenue forecast. Based on forecast error that could occur, the maximum dollar amount of the increase in state government revenue and fiscal year spending for FY 2027-28 is estimated to be $2.7 billion.

Interaction with Proposition 136

Proposition 136 limits the state income tax rate at the current law rate of 4.4 percent. If both Amendment 87 and Proposition 136 are approved by voters, the proposed tax rates for income over $500,000 in Amendment 87 would be higher than the 4.4 percent limit in Proposition 136. In this case, the revenue impacts may be different than those identified in this analysis, depending upon the resolution of this conflict.

Taxpayer Impacts

Amendment 87 will decrease the amount of income tax owed by taxpayers with Colorado taxable income of less than $510,834 and increase the amount of income tax owed by taxpayers with Colorado taxable income of $510,834 and above. An estimated 3.4 million individual and corporate taxpayers will have taxable incomes of less than $510,834 annually in 2027, with an average decrease in taxes paid of $176. An estimated 64,000 individual and corporate taxpayers will have taxable incomes of $510,834 or more annually in 2027, with an average increase in taxes paid of $39,171.

State law requires Legislative Council Staff to estimate the potential tax burden on affected taxpayers within specified federal adjusted gross income categories. Federal adjusted gross income is total income from all sources, with certain adjustments, as determined when filing federal income taxes. Colorado taxable income, calculated when filing state income taxes, is based on federal taxable income, which includes federal income tax deductions, and other adjustments required or allowed under state law. Table 3 shows the expected change in tax burden by federal adjusted gross income category. The measure has no impact on current TABOR refunds or TABOR refund mechanisms.

Table 3
Estimated Impact on Individual Taxpayers by Income

Income Category	Estimated Number of Taxpayers	Total Change in Tax Burden	Average Change in Tax Burden
$14,999 or less	579,309	-$638,951	-$1
$15,000 to $29,999	408,924	-$16,093,434	-$39
$30,000 to $39,999	272,616	-$29,611,480	-$109
$40,000 to $49,999	238,539	-$38,651,945	-$162
$50,000 to $69,999	443,000	-$85,925,358	-$194
$70,000 to $99,999	408,912	-$93,232,609	-$228
$100,000 to $149,999	408,912	-$115,554,178	-$283
$150,000 to $199,999	238,532	-$77,522,900	-$325
$200,000 to $249,000	102,228	-$33,224,100	-$325
$250,000 to $499,999	204,456	-$66,448,200	-$325
$500,000 to $999,999	55,900	-$15,893,609	-$284
$1,000,000 or more	46,328	$1,208,468,497	+$26,085

Income is federal adjusted gross income, not Colorado taxable income; therefore, the income ranges and tax rates do not align with those in Table 2. The estimated number of taxpayers column counts joint filers as one taxpayer. Estimates are based on Colorado Department of Revenue data for all residents for tax year 2023 and Legislative Council Staff estimates.

State Expenditures

The measure requires new General Fund expenditures in the DOR of $98,000 in FY 2027-28 and $27,600 ongoing in later years to implement the graduated income tax. These impacts are shown in Table 4 and detailed below.

Table 4
State Expenditures
Department of Revenue

Cost Component	Current Year FY 2026-27	Budget Year FY 2027-28	Out Year FY 2028-29
Computer Programming and Form Changes	$0	$60,000	$10,000
Research and Analysis	$0	$38,000	$7,600
Total Costs	**$0**	**$98,000**	**$17,600**

The measure requires computer programming and form changes estimated at $60,000 in FY 2027-28 and $10,000 ongoing in later years for annual updates for DOR to program, test, and update the GenTax software system and to update forms for taxpayers. Expenditures in the Office of Research and Analysis are required for changes in the related GenTax reports so that the department can access and document tax statistics related to the new tax policy. These costs are estimated to be $38,000 in FY 2027-28, representing 1,000 hours, and $7,600 ongoing in later years, representing 200 hours for data management and reporting at $38 per hour.

School District

The measure increases available state funding to school districts. The exact amount distributed to school districts will depend on decision made by the General Assembly when allocating money from the Colorado Future's Account.

Effective Date

If approved by voters at the 2026 general election, this measure takes effect upon proclamation of the Governor, no later than 30 days after the official canvass of the vote is completed.

State and Local Government Contacts

Revenue